

PROPERTY MANAGEMENT · REFERENCE

The Cost of Delayed Placement

Why the timing of placement — not the effort of chasing — decides how much unpaid rent you ever recover

Every property team knows the feeling: a resident falls behind, promises to catch up, moves out still owing, and the balance sits on the ledger for months before anyone decides what to do with it. By then, most of it is gone. For unpaid rent and move-out balances, the age of the debt is the single strongest predictor of whether it is ever recovered — and the good news is that timing is the one variable entirely within your control.

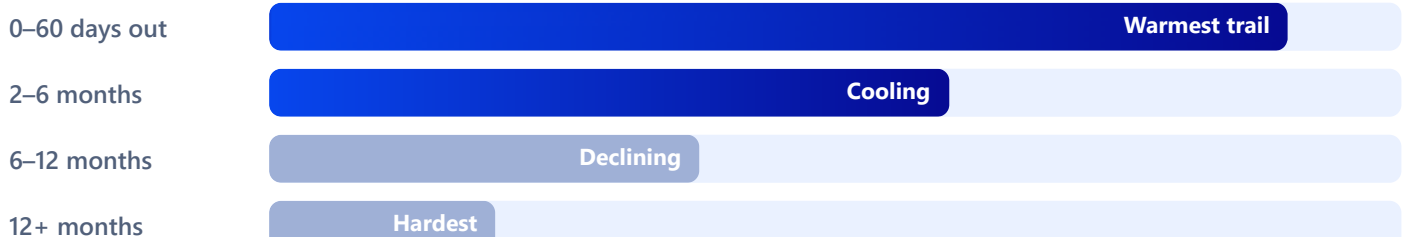
Executive summary

- Recovery falls steeply with age — fresh balances recover far more than aged ones, because contact data and tenant ties erode fast.
- Renter distress is at record levels: in late 2025, roughly **22.7 million households — about 49% of renters — were cost-burdened**, spending 30%+ of income on housing.
- The highest-leverage change a property team can make is a standing rule to place move-out balances promptly, not case by case.
- On pure contingency there is no upfront cost to placing early, so waiting carries risk with no offsetting upside.

1. Why the age of a rent balance matters so much

A move-out balance is a race against the tenant's trail going cold. The moment a resident leaves, the clock starts on the data that makes recovery possible: the address on file expires, the phone changes, employment shifts, and the tenant re-establishes life somewhere you can't see. The longer the balance sits, the harder — and more expensive — it is to locate and engage the right party.

2. Recovery falls as the balance ages



Illustrative and relative. Industry data underscores the difficulty of aged multifamily debt — the National Apartment Association reports overall recovery around 15–20% nationally — which is precisely why placing while balances are fresh is the biggest lever available.

3. What a delayed placement actually costs

- **Lower recovery.** Every month of delay compounds the location problem and shrinks what comes back.
- **Trapped capital.** Uncollected balances are revenue you earned but can’t deploy against turns, maintenance or operations.
- **Write-off drift.** Balances that sit long enough quietly become permanent write-offs — and a write-off is a 0% recovery by default.
- **Lost reporting leverage.** The sooner an account is placed and (where qualifying) reported, the sooner the credit consequence motivates payment.

4. The market context: distressed renters, rising delinquency

The pressure on rent rolls is structural, not temporary. In late 2025, renter cost burdens reached an all-time high: roughly **22.7 million households — about 49% of all renters — were spending more than 30% of their income on housing**. When half your resident base is stretched, delinquency and skips rise, and a disciplined, fast placement process stops being optional.

5. A standing placement calendar

The most effective operators don’t decide account by account whether to place — they run a rule. A simple, escalating cadence keeps balances from aging into write-offs:

STAGE	ACTION	PURPOSE
While occupied, past due	Ledger reminders, pay-or-quit notices	Resolve in-house while the resident is still on site.
At move-out / skip	Finalize the itemized ledger & deposit accounting	Build the documented balance that supports recovery.
Within 30–45 days of move-out	Place with the agency	Work the balance while the trail is warm and data is fresh.
Aged backlog	Place in parallel	Skip-traced recovery at no upfront cost — partial beats a write-off.

6. Prevention: tightening the front end

- **Screen thoroughly.** Verify income, rental history and prior evictions before move-in — the cheapest bad debt is the one you never sign.
- **Right-size deposits** within legal limits so more of a move-out balance is covered.
- **Document relentlessly.** Signed leases, move-in/move-out inspections with photos, and clean ledgers make every later recovery faster.
- **Act on the first miss.** Early, consistent follow-up on the first late payment prevents the slide to skip.

7. How Southwest Recovery fits your workflow

- **Pure contingency.** No upfront fees, no retainer, no minimum — you pay only a percentage of what is recovered.
- **AppFolio-ready placement.** Upload your ledger export; we map your columns, so there's no re-keying.
- **Fast start.** Outreach within 24–48 hours; skip tracing and (where qualifying) credit reporting standard on every placement.
- **Full visibility.** A live portal dashboard for account status and recovery.

Key takeaways

- Age is the strongest predictor of recovery — place move-out balances fast.
- Roughly half of U.S. renters are cost-burdened; delinquency pressure is structural.
- A standing “place within 30–45 days of move-out” rule beats case-by-case decisions.
- Aged balances still belong in the pipeline — on contingency, partial recovery beats a write-off.
- Screening, deposits and documentation up front make every later recovery easier.

Getting started in three steps

1. Pull your AppFolio delinquency and move-out ledger.
2. Send a representative sample for an honest, age-based read and a firm rate.
3. Set a standing placement rule so no balance ages into a write-off.

Frequently asked questions

How soon should we place a move-out balance?

Ideally within 30–45 days of move-out. Recovery falls sharply as the trail cools, so the sooner it's placed, the more comes back.

Should we bother with the aged backlog?

Yes — place it in parallel with fresh accounts. There's no upfront cost, and partial recovery on an old balance beats a guaranteed write-off.

Will placing accounts reflect badly on our community?

No. A professional agency represents you diplomatically and compliantly — recovery that never reflects poorly on the property's name.

What does it cost if nothing is recovered?

Nothing. Pure contingency means you pay a percentage only of what is actually collected.

Quick reference — the cost of waiting

- **Place by:** 30–45 days after move-out, as a standing rule.
- **Market:** ~22.7M households / ~49% of renters cost-burdened (late 2025).
- **Industry recovery:** ~15–20% multifamily nationally — timing and reporting move the number.
- **Skip tracing:** locates ~70–80% of departed tenants — best while fresh.
- **Cost:** \$0 upfront — pure contingency.

About Southwest Recovery Services

Southwest Recovery Services is a property-management and multifamily recovery specialist working post-eviction and unpaid-rent balances on pure contingency since 2004 — with a strong Texas footprint and the FCRA-approved credit-reporting standing most landlords can’t furnish themselves.

AT A GLANCE	
Recovering since	2004 — two decades of receivables recovery.
Track record	\$975M+ in receivables placed; \$76M+ recovered for clients; 800,000+ accounts worked.
Texas footprint	12 offices across 7 states — six in Texas (Addison HQ, Austin, Dallas, Houston, Midland, San Antonio); recovery nationwide.
Credit reporting	Equifax and Experian, plus Experian RentBureau — the rental-specific value-add, furnished at no additional charge.
Model & compliance	Pure contingency (\$0 upfront); FDCPA / Reg F compliant on residential accounts; ACA International member.

Put a number on your aging ledger

We’ll review a representative sample of your delinquency and move-out balances and show you, by age, what a faster placement rule would add to recovery.

Call (866) 551-4684 · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Recovery figures are illustrative and vary by portfolio; statutes and court timelines vary by jurisdiction — confirm with counsel. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.